

rough idea of your combined federal, state, and local marginal rate. To calculate your federal, state, and local marginal income tax rate more precisely, consult your state's tax booklet to find out your true state and local marginal rate. You can get a copy by calling your state's department of taxation (or reaching it online via [www.taxsites.com](http://www.taxsites.com)). Inside you'll find tables to help you figure out your state and local rates.

| Figure 9-1<br>2009 TAX RATES      |                                       |                   |
|-----------------------------------|---------------------------------------|-------------------|
| Filing Status                     | For taxable income that is:           | Marginal rate is: |
| Single                            | Not over \$8,350                      | 10%               |
|                                   | Over \$8,350 but not over \$33,950    | 15%               |
|                                   | Over \$33,950 but not over \$82,250   | 25%               |
|                                   | Over \$82,250 but not over \$171,550  | 28%               |
|                                   | Over \$171,550 but not over \$372,950 | 33%               |
|                                   | Over \$372,950                        | 35%               |
| Married couples filing jointly    | Not over \$16,700                     | 10%               |
|                                   | Over \$16,700 but not over \$67,900   | 15%               |
|                                   | Over \$67,900 but not over \$137,050  | 25%               |
|                                   | Over \$137,050 but not over \$190,200 | 28%               |
|                                   | Over \$190,200 but not over \$372,950 | 33%               |
|                                   | Over \$372,950                        | 35%               |
| Married couples filing separately | Not over \$8,350                      | 10%               |
|                                   | Over \$8,350 but not over \$33,950    | 15%               |
|                                   | Over \$33,950 but not over \$68,525   | 25%               |
|                                   | Over \$68,525 but not over \$104,425  | 28%               |
|                                   | Over \$104,425 but not over \$186,475 | 33%               |
|                                   | Over \$186,475                        | 35%               |

**Figure 9–1 2009 TAX RATES**

Remember, your marginal rate does not indicate what percentage of your income will go toward tax. In the example above, if your annual taxable income was \$35,000, most of your money would be taxed at a rate of either 10% or 15% rather than at the marginal rate of 25%. Your overall rate, known as your **effective tax rate**, is a blended, or weighted, average of the tax rates that apply to your income. In this case it's a weighted average of 10%, 15%, and 25% that results in an effective tax rate of about 14%.